Type MS · Calculating a revised profit

Answer 1 of 3 · Question 2 part b · 5 marks

2025 JUN · Paper 02 · extract 1 of 3 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 2(a) (i) | **Award 1 mark for an explanation of the prudence concept and up to 2 marks for valid development.**<br><br>The prudence concept states that profits and assets should not be overstated **(1).** Creating a provision for irrecoverable debts recognises that not all debts will be recovered **(1)** therefore the true value of trade receivables will be shown in the financial statements **(1)** | **(3)** |

| Question Number | Answer | Mark |
|---|---|---|
| 2(a) (ii) | **Award 1 mark for an explanation of the business entity concept and 1 mark for valid development.**<br><br>**Sample Answer**<br><br>The business entity concept states that the business is treated as being completely separate from the owner of the business **(1)** therefore the business books of account should only reflect the transactions of the business and not the owner's personal expenditure **(1).**<br><br>**Accept any other appropriate responses.** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| 2(b) | **Award marks as indicated**<br><br>$36 784 **(5) W**<br><br>**Working** | **(5)** |

| | $ | |
|---|---|---|
| Draft profit for the year | 37 800 | |
| Rental income in advance | (650) | **(1)** |
| Goods for own use | 280 | **(1)** |
| Depreciation understated | (400) | **(1)** |
| Provision for irrecoverable debts | (246) | **(1)** |
| Revised profit for the year | 36 784 | **(1)** |

## Type MS · Calculating a revised profit

### Answer 1 of 3 · Question 2 part b · 5 marks

2025 JUN · Paper 02 · extract 2 of 3 · find part b in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 2(c) | **Award marks as indicated.** | **(10)** |

**Ruhi**
**Statement of financial position at 31 March 2025**

| **Assets** | **$** | **$** | |
|---|---|---|---|
| **Non-current assets** | | 21 420 | **(1)** |
| **Current assets** | | | |
| Inventory | 14 650 | | |
| Trade receivables | 12 054 | | **(1)** |
| Other receivables | 330 | | |
| | | 27 034 | |
| **Total assets** | | 48 454 | **(1of)** |
| **Equity and liabilities** | | | |
| **Equity** | | | |
| Opening equity | 23 900 | | |
| Profit for the year | 36 784 | | **(1of)** |
| Drawings | (32 580) | | **(1)** |
| **Total equity** | | 28 104 | **(1of)** |
| **Non-current liabilities** | | | |
| Bank loan | | 9 500 | **(1)** |
| **Current liabilities** | | | |
| Trade payables | 8 660 | | |
| Other payables | 2 030 | | **(1)** |
| Bank overdraft | 160 | | |
| | | 10 850 | |
| **Total liabilities** | | 20 350 | **(1of)** |
| **Total equity and liabilities** | | 48 454 | **(1of)** |

## Type MS · Calculating a revised profit

### Answer 1 of 3 · Question 2 part b · 5 marks

2025 JUN · Paper 02 · extract 3 of 3 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2(d)** | **Award up to 4 marks for assessment of the ratios. Award 1 mark for a conclusion.**<br><br>**Sample Answer**<br><br>While the gross profit percentage has not changed over the three years the profit for the year as a percentage of revenue has worsened **(1)**, which indicates that the business needs to improve the control of expenses **(1)**.<br><br>The return on capital employed has improved over the same period **(1)** indicating that the business is making better use of the capital invested in the business **(1).**<br><br>Overall profitability has deteriorated/improved over the three years **(1)**<br><br>**Accept any other appropriate responses.** | **(5)** |

**(Total for Question 2 = 25 marks)**

## Type MS · Calculating a revised profit

### Answer 2 of 3 · Question 10 part whole · 1 mark

2023 JUN · Paper 01 · find part whole in this mark scheme extract

| | | |
|---|---|---|
| **10** | **C $64 200** | **(1)** |

Type MS · Calculating a revised profit

Answer 3 of 3 · Question 1 part b · 4 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 3 · find part b in this mark scheme extract

| Number | | |
|---|---|---|
| 1(a) | **Award marks as indicated.** | |

**Jay**
**Income statement for the year ended 31 December 2024**

| | $ | $ | |
|---|---|---|---|
| Revenue | 143 200 | | |
| Returns inwards | (3 214) | | |
| | | 139 986 | **(1)** |
| **Cost of sales** | | | |
| Opening inventory | 15 600 | | |
| Purchases | 69 320 | | |
| Closing inventory | (12 900) | | **(1fb)** |
| | | (72 020) | **(1)** |
| **Gross profit** | | 67 966 | **(1of)** |
| Add income | | | |
| Discount received | | 534 | **(1)** |
| | | 68 500 | |
| Less expenses | | | |
| Discount allowed | 1 328 | | |
| General expenses | 8 900 | | |
| Rent and rates | 5 600 | | |
| Insurance | 1 830 | | **(1)** |
| Irrecoverable debts | 850 | | **(1)** |
| Machinery – depreciation charge | 11 350 | | **(1)** |
| Machinery repairs | 1 500 | | **(1)** |
| Wages and salaries | 25 000 | | **(1)** |
| | | (56 358) | **(1)** |
| **Profit for the year** | | 12 142 | **(1of)** |

**(12)**

## Type MS · Calculating a revised profit

### Answer 3 of 3 · Question 1 part b · 4 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 3 · find part b in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(b)</td><td>Award marks as indicated.<br><br>$11 742 (4) W<br><br>
<table>
<tr><th>W</th><th>$</th></tr>
<tr><td>Profit for the year</td><td>12 142 (1)</td></tr>
<tr><td>Machinery repairs</td><td>(500) (1)</td></tr>
<tr><td>Depreciation charge adjustment</td><td>100 (1)</td></tr>
<tr><td>Adjusted profit for the year</td><td>11 742 (1of)</td></tr>
</table></td><td>(4)</td></tr>
</table>

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(c)</td><td>Award 1 mark for identification of the consistency concept and up to 3 marks for valid development.<br><br>Sample answer<br><br>Jay should not proceed with this proposal as he will not be complying with the consistency concept (1) which states that once a particular method has been chosen the business must use this from one accounting period to the next (1).<br><br>This will enable the business to make meaningful comparisons year on year (1) and avoid distorting the profit for the year (1).<br><br>Accept any other appropriate responses</td><td>(4)</td></tr>
</table>

## Type MS · Calculating a revised profit

### Answer 3 of 3 · Question 1 part b · 4 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 3 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1(d)** | **Award up to two marks for identification of each reason and up to two marks for development**<br>**Award 1 mark for conclusion.**<br><br>**Sample answer**<br><br>It is important for Jay to differentiate between capital and revenue expenditure as the incorrect treatment of revenue expenditure would result in the profit for the year being either overstated or understated **(1).** Similarly, the incorrect treatment of capital expenditure would result in the non-current assets section of the statement of financial position being either overstated or understated **(1).**<br><br>If, for example, Jay enters the purchase of a motor vehicle in the motor expenses account this would result in the profit for the year being understated **(1)** and the value of the motor vehicles in the statement of financial position being understated **(1).**<br><br>Treating capital expenditure and revenue expenditure incorrectly would result in the financial statements not providing a true and fair view of the business **(1).**<br><br>**Accept any other appropriate responses** | **(5)** |